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**IMMEDIATE
ATTENTION**

EBS/10/92

May 20, 2010

To: Members of the Executive Board

From: The Secretary

Subject: **Republic of Congo—Third Review Under the Three-Year Arrangement Under the Extended Credit Facility**

Attached for consideration by the Executive Directors is a paper on the third review under the three-year arrangement under the Extended Credit Facility for the Republic of Congo. The staff has determined that all applicable performance criteria have been implemented, and the thrust of the policies and objectives supported by the arrangement are expected to be maintained. Unless an objection from the authorities of the Republic of Congo is received prior to the conclusion of the Board's consideration, the document will be published. Any requests for modifications for publication are expected to be received two days before the Board concludes its consideration

It is not proposed to bring this matter to the agenda of the Executive Board for discussion unless an Executive Director so requests by noon on **Thursday, May 27, 2010**. In the absence of such a request, the draft decision that appears on pages 9 and 10 will be deemed approved by the Executive Board and will become effective on Friday, May 28, 2010, and will be so recorded in the minutes of the next meeting thereafter. If an Executive Director requests that the matter be taken up at a Board meeting, the item will be placed on the agenda on a date to be announced.

Questions may be referred to Ms. Baker (ext. 34041) and Mr. Mpatswe (ext. 39513) in AFR.

Unless the Documents Section (ext. 36760) is otherwise notified, the document will be transmitted, in accordance with the procedures approved by the Executive Board and with the appropriate deletions, to the WTO Secretariat forthwith; and to the African Development Bank and the European Commission, following its consideration by the Executive Board.

This document, together with a supplement providing an informational annex, will shortly be posted on the extranet, a secure website for Executive Directors and member country authorities. The supplement, which is not being distributed in hard copy, will also be available in the Institutional Repository; a link can be found in the daily list (<http://www-int.imf.org/depts/sec/services/eb/dailydocumentsfull.htm>) for the issuance date shown above.

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INTERNATIONAL MONETARY FUND

REPUBLIC OF CONGO

**Third Review Under the Three-Year Arrangement Under the
Extended Credit Facility**

Prepared by the African Department
(in consultation with other departments)

Approved by Domenico Fanizza and Dhaneshwar Ghura

May 20, 2010

- **Discussions were held in Brazzaville April 27–May 10, 2010.** The mission met with President Sassou N’Guesso, State Minister Moussa (Planning), Finance Minister Ondongo, National Director of the BEAC Ondaye, other senior government officials, and representatives of the diplomatic and donor community, the private sector, and the media. The mission comprised Ms. Baker (head), Messrs. York, Mpatswe and Poplawski-Ribeiro (all AFR), Mr. Caceres (FAD), and Mr. Maseda (BLS) and was assisted by Mr. Melhado, resident representative. It was joined by Mr. Sidi Bouna (OED).
- **The ECF arrangement in the amount of SDR 8.46 million (about \$12.6 million, or 10 percent of quota) was approved by the Executive Board on December 8, 2008.** The arrangement is designed to achieve balanced growth, low and stable inflation and fiscal and external stability. The second review was completed in November 2009, and Congo reached the HIPC completion point in January 2010.
- **Program implementation through end-December 2009 has been satisfactory.** All end-December performance criteria were met, and the authorities are on track to meeting end-March indicative targets. The authorities observed eight of the ten structural benchmarks through March. The remaining two were delayed because of technical problems.
- In the attached supplemental Letter of Intent (LOI), the authorities request completion of the third ECF review and have agreed to the publication of the LOI and this staff report.
- Congo is a member of the Central African Economic and Monetary Community (CEMAC) and its regional central bank (BEAC). The common currency, the CFA franc, is pegged to the euro at CFAF 656.

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EXECUTIVE SUMMARY

Recent Economic Developments and Prospects

- Economic indicators are encouraging and overall growth should quickly accelerate with the global recovery taking hold. Oil production is rising and there are signs of increasing activity in the non-oil sector. Inflation has fallen below the Communauté Economique et Monétaire de l'Afrique Centrale (CEMAC) convergence criteria of 3 percent per year.
- The external position continues to improve, and Congo's contribution to the common pool of reserves is rising. The current account is expected to swing into surplus buoyed by higher oil exports and firming oil prices in 2010; and Congo's external debt has declined dramatically as a result of Heavily Indebted Poor Countries (HIPC) debt relief.

Program Performance

- Performance under the program has been satisfactory. The authorities met all end-December performance criteria, and preliminary data through February indicate that they are on track to meet end-March indicative targets. The authorities observed eight of the ten structural benchmarks. The remaining two were delayed because of technical problems, and did not impact the overall reform process.

Policies in the Period Ahead

- The authorities believe that the policy objectives laid out in their November 2009 Memorandum of Economic and Financial Policies remain consistent with their poverty reduction strategy and are within reach. Fiscal consolidation and structural reforms aimed at ensuring the effective use of oil wealth and supporting development of a strong non-oil sector will continue to support these objectives.
- The main risk to the program stems from possible spending pressures that could cause fiscal slippages in the post-HIPC period. Directing resources freed by HIPC debt relief toward pro-growth and pro-poor spending may help mitigate these pressures.

Staff recommends completion of the third review under the Extended Credit Facility (ECF) arrangement and disbursement of the fourth loan in an amount equivalent to SDR 1,208,570.

I. INTRODUCTION

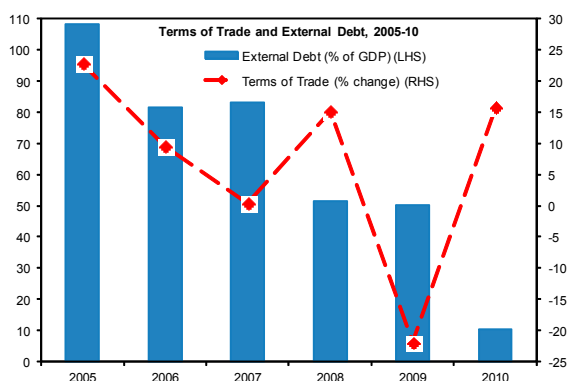
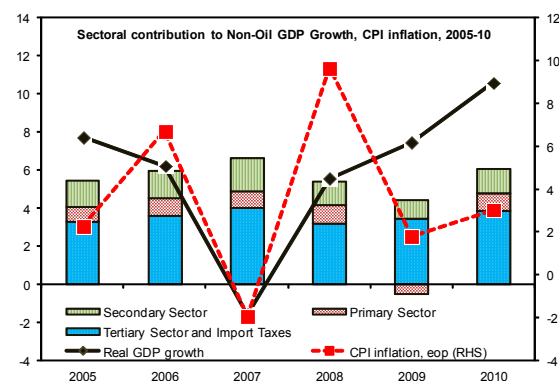
1. **With the HIPC completion point behind them, Congo's prospects for achieving sustained growth and poverty reduction have improved.** The authorities have shored up macroeconomic stability, strengthened public financial management, enhanced governance and transparency over the use of oil resources, and bolstered debt management capacity. Further consolidation of these initiatives will cement the foundation for sustained growth and poverty reduction. Looking ahead, the authorities plan to turn their focus toward restoring public services and basic infrastructure, and fostering economic diversification.

2. **The authorities are confident that the policy framework laid out in their Memorandum of Economic and Financial Policies (MEFP, November 2009) remains relevant, achievable and consistent with their Poverty Reduction Strategy (PRS).** They believe that implementation of tax reform will serve to reduce oil dependence, while the forthcoming strategic study of the oil sector will guide them in managing oil wealth.

II. RECENT DEVELOPMENTS, PERFORMANCE UNDER THE PROGRAM AND OUTLOOK

3. **Despite the global downturn economic developments in 2009 were favorable; and with the external environment improving, prospects for 2010 are encouraging** (Table 1).

- Signs of brisk economic activity are apparent, and real gross domestic product (GDP) growth is expected to reach double digits in 2010. Growth will be driven by a large increase in oil output and buoyant non-oil activity (construction, telecommunication, transport). Inflation has come down below the CEMAC convergence criteria, and is expected to remain low. Improving terms of trade and external conditions will swing the current account into surplus, increasing Congo's contribution to the CEMAC common pool of reserves.
- Improved resilience of the economy and continued fiscal consolidation have reduced, but not eliminated, program risks, which center around possible increased public pressures for easing the fiscal stance.



Source: Congolese Authorities; and Fund staff estimates and projections

4. Policy implementation through end-March has been in line with the program.

- The authorities met all end-December performance criteria (PC), and preliminary data through February indicate that they are on track to meet end-March indicative targets.

Quantitative Targets, 2009 (Billions of CFA francs, unless otherwise indicated; cumulative from January)				
	End-Sep. 2009		End-Dec. 2009	
	Indicative Target	Act.	Perf. Criteria	Prel.
Quantitative targets				
Nonoil primary fiscal balance (floor)	-495	-558	-614	-614
New medium or long-term nonconcessional external debt (including leasing) contracted or guaranteed by the government (ceiling) ^{1,2,3}	0	0	0	0
New external debt (including leasing) with an original maturity of less than one year (ceiling) ²	0	0	0	0
New oil-collateralized external debt contracted by or on behalf of the central government (ceiling) ²	0	0	0	0
New nonconcessional external debt with a maturity of more than 1 year contracted or guaranteed by SNPC (ceiling) ²	0	0	0	0
New external arrears on nonreschedulable debt (ceiling) ²	0	0	0	0
New domestic arrears ²	0	0	0	0
Memorandum items				
Oil revenue	653	628	934	934
Non-oil primary revenue	280	280	373	373
Pro-poor spending	318	314	406	401

¹ Excluding rescheduling arrangements and disbursements from the IMF; the minimum grant element is set to 50 percent.

² Continuous.

³ The zero ceiling on concessionality does not apply to forthcoming external loans from the European Investment Bank and the Central African States Development Bank, as specified in paragraph 9 of the Technical Memorandum of Understanding.

- The authorities also continued to make progress in public financial management (PFM) and the management of oil wealth, observing eight of ten structural benchmarks (Table 2). The missed benchmarks include (i) transfer of oil receipts to the treasury within 45 days (continuous), and (ii) completion of the strategic oil study (end-March). On the former, the authorities explained that in order to meet the HIPC completion point trigger of aligning oil commercialization with best international practice, they absorbed the functions of the oil commercialization entity into the national oil company. This operational change resulted in a delay in some cases past the 45 days, but progress is being made in regularizing the payment transfer. On the strategic oil study, the consultant reports that owing to the complexity of certain legal and tax regime issues they now expect to complete the study by end-September.

5. **The HIPC completion point reduced debt service obligations and increased the resilience of external debt indicators to shocks.** Debt relief under HIPC and Multilateral Debt Relief Initiative (MDRI) will generate total debt service savings of about US\$1.9 billion. In March 2010, Paris Club creditors agreed to grant 100 percent debt relief to Congo, amounting to US\$2.4 billion.¹ In light of the improved external debt conditions post-HIPC, the minimum grant element for official borrowing under the program was reduced from 50 percent to 35 percent, consistent with the Fund's debt limits policy.² However, the authorities will continue to finance investment primarily with own-resources.

¹ Congo continues to use its best efforts to conclude agreements with bilateral creditors and good faith efforts to obtain comparable treatment from remaining commercial creditors, including those under litigation.

² Given lack of reliable data on public enterprises, official borrowing covers central government and the SNPC.

III. POLICY DISCUSSIONS

6. **With program performance satisfactory and the HIPC completion point behind them, discussions for the third review centered on how to widen the fiscal envelope in support of development objectives, while continuing efforts toward fiscal sustainability.** The authorities' stressed the importance of continuing to improve spending efficiency, mobilizing more non-oil revenue and using the resources freed by HIPC debt relief.

A. Supporting quality spending: strengthening non-oil revenue and PFM

7. **The authorities noted that simultaneously supporting the objectives of the PRS and fiscal sustainability would require lasting gains in non-oil revenue collection.** Given their ongoing commitment to a prudent external borrowing policy and their desire to save oil revenue to move toward fiscal sustainability, they viewed stronger domestic revenue mobilization as key to improving public service delivery and increasing priority spending, while reducing vulnerability to oil prices. They also noted that potential improvements in implementation capacity and procurement procedures could generate substantial savings.

8. **The authorities saw scope for improving non-oil revenue through broadening the tax base and improving the design of the tax system.** Progress is being made on implementing the tax action plan—exceptional tax exemptions have been eliminated through a ministerial decree, as were exemptions on government procurement and contracts. A new technical committee has begun work on broader tax reform issues in line with the action plan. Key actions over the coming months could include measures aimed at raising non-oil revenue collection, such as further reducing exemptions and possible harmonization of domestic and regional tax rates. Given persistent capacity constraints and the scope of the desired reform, the authorities requested Fund technical assistance in the area of tax policy.

9. **The authorities intend to continue strengthening public financial management to buttress spending efficiency.**

- The authorities felt that some reversal of the significant compression of public sector wages may be warranted to improve public service delivery, in the context of a well-designed civil service reform. Key reform actions in this area—under the stewardship of the World Bank—include unification and computerization of civil service payroll database; rightsizing of the civil service, especially toward social sectors; and improving the salary structure.
- They also noted that improved expenditure prioritization could better align spending with the objectives in their PRS. In this context, further refinements to the functional

classification of expenditure, developed with the help of Fund technical assistance, will aid in tracking pro-growth and pro-poor spending.³

10. Going forward, the authorities will continue to monitor closely government finance and the use of oil resources through an indicative target (ceiling) on net domestic financing of the central government.

B. Safeguarding fund resources

11. The Bank for Central African States (BEAC) authorities have committed to strengthening governance and key safeguards at the central bank. In the wake of the serious fraud in the Paris Office, the BEAC has adopted an action plan and commenced implementation of a series of initial measures agreed with the Fund. The completion of some actions, in particular, a special audit of budgetary and accounting controls at BEAC headquarters has been delayed. The results of this audit, which is now expected to be finalized in the coming weeks, are expected to inform the next round of safeguards reforms at the BEAC. The Congolese authorities reiterated their commitment to working with the BEAC to resolve these issues as quickly as possible.

IV. STAFF APPRAISAL

12. The near-term outlook is favorable. Strong policies, improving external conditions and debt relief obtained under the HIPC completion point will support macroeconomic stability. Fiscal consolidation in excess of program targets and progress on key structural reforms have strengthened policy implementation and resilience to shocks.

13. These continuing efforts, together with investment in basic infrastructure, augur well for a take-off of non-oil growth and lasting poverty reduction. Promptly directing resources freed by HIPC debt relief toward pro-growth and pro-poor spending may help mitigate pressures for easing the fiscal stance—the main risk for future program implementation—which stem from past compression of current expenditure, including wages, and public calls for higher public investment in light of improved debt indicators. Greater pro-poor expenditure would also help advance development objectives.

14. Structural reforms have moved ahead, particularly in the area of PFM and the management of oil resources. The non-observance of two structural benchmarks due to technical issues had little impact on the broader reform process, and the authorities are taking actions in these areas.

³ Improvements in this area are underway. Once this work is satisfactorily completed, staff will propose an indicative target on such spending, consistent with the guidelines under the ECF.

15. In the period ahead, efforts should continue in key areas, such as tax reform, improving expenditure efficiency and strengthening oil wealth management. Simultaneously supporting the objectives of the PRS and fiscal sustainability, while maintaining the authorities' prudent external debt policy, necessitates redoubled efforts to increase non-oil revenue collection to expand the resource envelope for improving public service delivery and raising priority spending. Scope for increasing non-oil tax collection is potentially large, and staff supports the authorities' request for technical assistance in the area of tax policy.

- The authorities' planned implementation of their tax action plan is welcome, but should be accompanied by continued efforts to improve tax and customs administration.
- As fiscal space widens some additional spending may be justified. However, it will be critical to bolster gains in expenditure efficiency, including through a well-designed civil service reform and further strengthening of oil wealth management, while continuing efforts toward achieving fiscal sustainability.

16. Reaching the completion point has significantly reduced Congo's debt burden. Staff welcomes the authorities' good faith efforts to obtain comparable treatment from all remaining commercial creditors and their best efforts to conclude bilateral agreements as soon as possible. Staff also welcomes the authorities' intention to continue closely monitoring of public finances, including through an indicative target on net domestic financing. New foreign borrowing should only be considered if extended on concessional terms.

17. The commitment of the BEAC authorities to address serious deficiencies in internal control and governance is welcome. Measures taken by the CEMAC's January Heads of States Summit demonstrate progress in addressing concerns regarding the safeguarding of Fund resources. The Congolese authorities should continue to strongly support the reform efforts to resolve these issues as quickly as possible.

18. Staff recommends completion of the third review of the ECF arrangement and disbursement of the fourth loan in an amount equivalent to SDR 1,208,570.

Proposed Decision

The following decision, which may be adopted by a majority of the votes cast, is proposed for adoption by the Executive Board.

1. The Republic of Congo has consulted with the Fund in accordance with paragraph 4(c)(iii) of the three-year arrangement for Republic of Congo under the Extended Credit Facility (ECF) (EBS/08/125) (the “Arrangement”) to review program implementation.
2. The letter of the Minister of Finance, Budget and Public Portfolio of the Republic of Congo dated May 19, 2010 (the “May 2010 Letter”), together with its attached Technical Memorandum of Understanding (the “May 2010 TMU”) shall be attached to the Arrangement, and the letters of the Minister of Economy, Finance and Budget, dated November 19, 2008, May 27, 2009, and November 5, 2009 and their attachments, shall be read as supplemented and modified by the May 2010 Letter together with its attachments.
.
3. Accordingly, the Arrangement shall be amended as follows:
 - (a) in subparagraph (v) of paragraph 2, the reference to “end-September 2010” shall be replaced with “end-October 2010”;
 - (b) a new subparagraph (vi) shall be added to paragraph 2 to read as follows:

“(vi) the sixth disbursement, in an amount equivalent to SDR 1,208,570 will be available on or after end-June, 2011 at the request of the Republic of Congo and subject to paragraphs 4 and 5 below;”

(c) the floor on the non-oil primary fiscal balance as of June 30, 2010 for the performance criterion specified in paragraph 4(a)(1) with respect to the fifth disbursement shall be as specified in Table 1 of the May 2010 Letter and further specified in the May 2010 TMU;

(d) a new subparagraph (a)(2) shall be added to paragraph 4 after subparagraph (a)(1) to read as follows:

“(a)(2) if the Managing Director of the Trustee finds that with respect to the sixth disbursement specified in paragraph 2(vi), the data as of December 31, 2010 indicate that the floor on the non-oil primary fiscal balance as set out in Table 1 of the May 2010 Letter and further specified in the May 2010 TMU was not observed or”; and

(e) subparagraph (iii) of paragraph 4(c) shall be deleted and replaced with the following:

“(iii) that, with respect to the fourth disbursement, the third review of the Republic of Congo’s program, referred to in paragraph 7 of the November 2009 Letter and paragraph 12 of the November 2009 MEFP, and with respect to the fifth disbursement, the fourth review, and with respect to the sixth disbursement, the fifth review, of the Republic of Congo’s program referred to in paragraph 8 of the May 2010 Letter have been completed.”

4. The Fund decides that the third review contemplated in paragraph 4(c)(iii) of the Arrangement is completed, and the Republic of Congo may request the fourth disbursement specified in paragraph 2(iv) of the Arrangement.

Table 1. Republic of Congo: Selected Economic and Financial Indicators, 2008–12

	2008	2009		2010		2011	2012
	Est.	Prog. ¹	Proj.	Prog. ¹	Proj.	Proj.	Proj.
(Annual percentage change)							
Production and prices							
GDP at constant prices	5.6	7.6	7.5	12.1	10.6	8.7	3.2
Oil	6.1	17.5	16.2	25.3	20.6	12.8	-3.6
Non-oil	5.4	3.5	3.9	6.0	6.1	6.6	7.0
GDP at current prices	32.0	-14.5	-14.3	36.8	36.7	15.3	1.7
GDP deflator	14.4	-20.5	-6.3	22.0	11.7	3.8	2.7
Consumer prices (period average)	6.0	4.8	4.3	4.0	4.9	3.5	3.0
Consumer prices (end of period)	11.4	3.2	2.5	3.0	3.9	3.0	3.0
External sector							
Exports, f.o.b. (CFA francs)	26.7	-20.1	-16.8	49.3	50.8	18.0	-1.2
Imports, f.o.b. (CFA francs)	25.8	-8.7	-10.6	22.7	36.7	7.0	6.7
Export volume	7.1	16.1	14.4	24.8	19.7	15.5	-4.0
Import volume	16.1	1.9	-0.4	17.0	22.1	4.3	4.9
Terms of trade (deterioration -)	15.2	-21.0	-21.9	13.6	15.8	1.9	0.3
Nominal effective exchange rate (end of period)	1.4	...	3.0	...	...	...	...
Real effective exchange rate (end of period)	0.5	...	0.9	...	...	...	...
(Percent of GDP)							
Investment and saving							
Gross national saving	22.6	12.0	16.9	24.4	27.4	31.6	31.8
Gross investment	22.1	25.8	24.6	21.9	23.7	22.7	23.1
Current account balance ²	0.6	-13.8	-7.7	2.4	3.6	8.9	8.7
External public debt (end of period)	51.5	26.3	50.2	19.9	10.4	8.8	8.1
(Percent of non-oil GDP)							
Central government finances							
Revenue and grants	160.4	87.4	78.3	141.2	145.1	163.5	154.7
Oil revenue	136.0	62.7	54.8	116.0	120.0	134.9	122.0
Nonoil revenue and grants	20.8	21.8	21.9	22.4	22.4	23.3	24.0
Total expenditure	80.7	69.0	65.3	66.2	66.4	63.1	60.4
Current	50.4	34.4	36.8	31.4	31.9	29.6	28.1
Capital (and net lending)	30.3	34.7	28.5	34.8	34.5	33.5	32.4
Overall balance (deficit -, commitment basis) ³	79.8	18.3	13.0	75.0	78.7	100.4	94.2
Basic primary fiscal balance (deficit -) ⁴	91.5	25.4	18.8	82.2	86.5	103.8	93.5
of which: Basic non-oil primary fiscal balance (- = deficit)	-44.3	-37.3	-36.0	-33.8	-33.5	-31.1	-28.5
(Percent of total government revenue excluding grants)							
External public debt service (after debt relief) ⁵	8.3	3.9	3.8	2.8	1.7	1.2	1.3
External public debt (after debt relief) ⁵	110.5	73.6	171.8	42.5	23.7	18.5	16.6
(Billions of CFA francs, unless otherwise indicated)							
Gross official foreign reserves	1,825.3	2,164.9	1,733.1	3,619.2	3,271.5	5,417.4	7,668.2
Nominal GDP	5,279.3	4,105.7	4,523.4	5,616.5	6,181.6	7,126.1	7,245.7
World oil price (U.S. dollars per barrel)	97.0	61.5	61.8	76.5	80.0	83.0	84.3
Oil production (Millions of barrels)	86.6	101.8	100.7	127.5	121.4	136.9	131.9

Sources: Congolese authorities; and Fund staff estimates and projections.

¹ EBS/09/174.

² Including public transfers.

³ Including grants.

⁴ Primary revenue (excluding interest income and grants) minus non-interest current expenditure minus domestically financed capital expenditure and net lending.

⁵ HIPC completion point reached in January 2010. In March 2010, the Paris Club granted 100 percent debt relief.

Table 2. Republic of Congo: Structural Benchmarks under the ECF Arrangement, 2009–10

Measures	Timing/status
Public financial management and domestic revenue mobilization	
Submit to parliament a 2010 budget consistent with the new medium-term expenditure framework.	End-December 2009; observed
Have no recourse to emergency payment and cash advance procedures except in situations stated in the organic budget law.	Continuous; observed
Support implementation of the new procurement code by ensuring that 80 percent of public contracts) having a total value of over CFAF 250 million are open to competitive bidding.	Continuous; observed
Prepare an action plan and timetable for the implementation of tax policy changes in line with FAD technical assistance.	End-March 2009; observed
Undertake the planned review of exemptions in line with FAD technical assistance, including in the areas of tax and customs.	End-December 2009; observed
Undertake audits to assess the arrears (wages, pensions) and liabilities of public enterprises liquidated or under restructuring. These audits will cover the period 2000-08.	End-June 2010
Governance and natural resource management	
Support implementation of the new oil commercialization action plan by ensuring that oil is marketed in line with the recommendations made by the international consultant, who is advising the state-owned oil enterprise (SNPC) on international best practice. These recommendations will include the introduction of competitive tenders for oil sales.	Continuous; observed
Have an internationally reputable audit firm certify oil revenue quarterly, using the same specifications as for the 2003 certification and with no restrictions on access to the information; and publish the certification reports on the website of the Ministry of Economy, Finance and Budget (www.mefb-cg.org). Also, the government will post on the website not only the audit but for each report, a note addressing comments by the auditors.	Continuous, with a one-quarter lag; observed, with delay
Repatriate to the Treasury the proceeds of oil shipments commercialized by private companies and SNPC on behalf of the government within 45 days after the actual shipment date, based on actual quantities, prices, and shipment dates.	Continuous; not observed
Finalize the strategic study of the oil sector—assisted by Congo's development partners—which will include a critical assessment of the institutions and enterprises, including CORAF.	End-March 2010; not observed
Public enterprises	
Ensure regular and timely adjustment of petroleum-product prices in line with the pricing mechanism adopted in May 2009, to avoid the need for budget subsidies or subsidies to the state-owned oil refinery, CORAF.	Quarterly; observed

Table 3a. Republic of Congo: Central Government Operations, 2008–12

	2008	2009		2010		2011	2012
	Est.	Prog. ¹	Est.	Prog. ¹	Proj.	Proj.	Proj.
(Billions of CFA francs)							
Revenue and grants	2,497	1,491	1,335	2,662	2,760	3,431	3,581
Primary Revenue	2,442	1,442	1,307	2,609	2,708	3,321	3,380
Oil revenue	2,118	1,070	934	2,187	2,283	2,831	2,825
Non-oil revenue	324	372	373	422	425	490	555
Investment income	20	27	13	20	19	65	154
Grants	35	22	15	33	33	45	47
Expenditure and net lending	1,256	1,178	1,113	1,248	1,263	1,324	1,400
<i>of which primary expenditure</i>	1,024	1,046	1,023	1,101	1,104	1,142	1,215
Current expenditure	785	587	627	593	606	621	650
Wages	166	175	175	188	190	207	227
Other current expenditure	446	377	355	361	363	371	385
Local authorities	23	25	24	36	35	32	28
Interest	150	10	73	8	18	11	11
Domestic	10	7	9	6	6	0	0
External	140	3	64	2	12	11	11
Capital expenditure	471	591	485	655	657	703	750
Domestically financed	390	469	469	516	516	533	576
<i>o.w. HIPC financed</i> ²	7	37	37	41	41	...	...
Externally financed	81	122	16	139	141	171	174
Net lending	0	0	1	0	0	0	0
Basic primary fiscal balance ³	1,424	433	320	1,549	1,645	2,179	2,165
<i>Of which: Basic non-oil primary fiscal balance</i>	-690	-637	-614	-638	-638	-652	-660
Balance, commitment basis							
Excluding grants	1,206	291	207	1,381	1,464	2,062	2,134
Including grants	1,242	313	222	1,414	1,497	2,107	2,182
<i>Of which: Non-oil fiscal balance</i>	-873	-757	-713	-773	-786	-724	-644
Change in arrears	-944	-554	-124	-94	-508	-93	-82
External	-801	-430	0	0	-413	0	0
Domestic	-143	-124	-124	-94	-94	-93	-82
Balance, cash basis	298	-241	97	1,320	989	2,014	2,099
Financing	-298	241	-98	-1,320	-989	-2,014	-2,099
Foreign (net)	408	476	-39	35	487	95	91
Drawings (new loan disbursement)	47	100	1	106	108	126	127
Amortization due	-170	-1,164	-106	-71	-1,151	-30	-35
Rescheduling obtained	325	222	15	0	215	0	0
Debt cancellation	207	208	54	0	211	0	0
Exceptional assistance (including debt relief) ⁴	0	1,110	-2	0	1,105	0	0
Domestic (net)	-706	-235	-59	-1,355	-1,476	-2,110	-2,191
Banking system (net)	-599	-231	122	-1,352	-1,473	-2,107	-2,191
Nonbank financing	-107	-4	-181	-3	-3	-3	0
Financing gap (- = surplus)	0	0	0	0	0	0	0
Memorandum items:							
GDP at current market prices	5,279	4,106	4,523	5,616	6,182	7,126	7,246
Non-oil GDP at market prices	1,557	1,706	1,705	1,885	1,902	2,099	2,316
Pro poor spending	343	406	401	455	456	532	620

Sources: Congolese authorities; and Fund staff estimates and projections.

¹ EBS/09/174.

² From the HIPC interim relief trust fund.

³ Primary revenue (excluding interest income and grants) minus noninterest current expenditure minus domestically finance capital expenditure (excluding HIPC-financed capital expenditure) and net lending.

⁴ HIPC completion point reached in January 2010. In March 2010, the Paris Club granted 100 percent debt relief.

Table 3b. Republic of Congo: Central Government Operations, 2008–12

	2008	2009		2010		2011	2012
	Est.	Prog. ¹	Est.	Prog. ¹	Proj.	Proj.	Proj.
(Percent of non-oil GDP)							
Revenue and grants	160.4	87.4	78.3	141.2	145.1	163.5	154.7
Primary Revenue	156.8	84.5	76.7	138.4	142.4	158.2	146.0
Oil revenue	136.0	62.7	54.8	116.0	120.0	134.9	122.0
Non-oil revenue	20.8	21.8	21.9	22.4	22.4	23.3	24.0
Investment income	1.3	1.6	0.8	1.0	1.0	3.1	6.6
Grants	2.3	1.3	0.9	1.8	1.7	2.1	2.0
Expenditure and net lending	80.7	69.0	65.3	66.2	66.4	63.1	60.4
<i>of which primary expenditure</i>	65.8	61.3	60.0	58.4	58.1	54.4	52.5
Current expenditure	50.4	34.4	36.8	31.4	31.9	29.6	28.1
Wages	10.7	10.3	10.3	10.0	10.0	9.9	9.8
Other current expenditure	28.6	22.1	20.8	19.1	19.1	17.7	16.6
Local authorities	1.5	1.5	1.4	1.9	1.9	1.5	1.2
Interest	9.6	0.6	4.3	0.4	1.0	0.5	0.5
Domestic	0.6	0.4	0.6	0.3	0.3	0.0	0.0
External	9.0	0.2	3.7	0.1	0.7	0.5	0.5
Capital expenditure	30.3	34.7	28.4	34.8	34.5	33.5	32.4
Domestically financed	25.0	27.5	27.5	27.4	27.2	25.4	24.9
<i>o.w. HIPC financed</i>	0.4	2.2	2.2	2.2	2.2	...	...
Externally financed	5.2	7.2	0.9	7.4	7.4	8.1	7.5
Net lending	0.0	0.0	0.1	0.0	0.0	0.0	0.0
Basic primary fiscal balance ²	91.5	25.4	18.8	82.2	86.5	103.8	93.5
<i>Of which: Basic non-oil primary fiscal balance</i>	-44.3	-37.3	-36.0	-33.8	-33.5	-31.1	-28.5
Balance, commitment basis							
Excluding grants	77.5	17.1	12.1	73.3	77.0	98.2	92.2
Including grants	79.8	18.3	13.0	75.0	78.7	100.4	94.2
<i>Of which: Non-oil fiscal balance</i>	-56.1	-44.4	-41.8	-41.0	-41.3	-34.5	-27.8
Change in arrears	-60.6	-32.5	-7.3	-5.0	-26.7	-4.4	-3.5
External	-51.5	-25.2	0.0	0.0	-21.7	0.0	0.0
Domestic	-9.2	-7.3	-7.3	-5.0	-5.0	-4.4	-3.5
Balance, cash basis	19.1	-14.2	5.7	70.0	52.0	96.0	90.7
Financing	-19.1	14.2	-5.7	-70.0	-52.0	-96.0	-90.7
Foreign (net)	26.2	27.9	-2.3	1.9	25.6	4.5	4.0
Drawings	3.0	5.9	0.1	5.6	5.7	6.0	5.5
Amortization due	-10.9	-68.2	-6.2	-3.8	-60.5	-1.4	-1.5
Rescheduling obtained	20.9	13.0	0.9	0.0	11.3	0.0	0.0
Debt cancellation	13.3	12.2	3.2	0.0	11.1	0.0	0.0
Exceptional assistance (including debt relief) ³	0.0	65.0	-0.1	0.0	58.1	0.0	0.0
Domestic (net)	-45.3	-13.8	-3.5	-71.9	-77.6	-100.5	-94.6
Banking system (net)	-38.5	-13.5	7.2	-71.7	-77.4	-100.4	-94.6
Nonbank financing	-6.9	-0.2	-10.6	-0.1	-0.1	-0.1	0.0
Financing gap (- = surplus)	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Memorandum items:	(Percent of GDP, unless otherwise indicated)						
Revenue and grants	47.3	36.3	29.5	47.4	44.6	48.1	49.4
Oil revenue	40.1	26.1	20.7	38.9	36.9	39.7	39.0
Non-oil revenue	6.1	9.1	8.2	7.5	6.9	6.9	7.7
Current expenditure	14.9	14.3	13.9	10.5	9.8	8.7	9.0
Capital expenditure	8.9	14.4	10.7	11.7	10.6	9.9	10.3
Basic primary fiscal balance ²	27.0	10.6	7.1	27.6	26.6	30.6	29.9
<i>Of which: Basic non-oil primary fiscal balance</i>	-13.1	-15.5	-13.6	-11.4	-10.3	-9.2	-9.1
Balance, cash basis	5.6	-5.9	2.2	23.5	16.0	28.3	29.0
Pro poor spending (percent of non-oil GDP)	22.0	23.8	23.5	24.1	24.0	25.3	26.8

Sources: Congolese authorities; and Fund staff estimates and projections.

¹ EBS/09/174.

² Primary revenue (excluding interest income and grants) minus noninterest current expenditure minus domestically financed capital expenditure (excluding HIPC-financed capital expenditure) and net lending.

³ HIPC completion point reached in January 2010. In March 2010, the Paris Club granted 100 percent debt relief.

Table 4. Republic of Congo: Monetary Survey, 2008–10

	2008	2009		2010	
	Est.	Prog. ¹	Est.	Prog. ¹	Proj.
Monetary survey	(Billions of CFA francs)				
Net foreign assets	1,877	2,176	1,881	3,608	3,440
Central bank	1,788	2,083	1,705	3,536	3,249
Deposit money banks	89	92	176	72	191
Net domestic assets	-908	-1,113	-862	-2,434	-2,304
Net domestic credit	-893	-1,098	-719	-2,419	-2,161
Net credit to the Government	-1,079	-1,310	-956	-2,662	-2,429
Central bank	-1,072	-1,303	-956	-2,655	-2,428
Credit to the economy	190	215	235	247	272
Broad money	970	1,063	1,019	1,174	1,136
Currency outside banks	344	377	342	417	382
Demand deposits	499	547	539	604	601
Time deposits	126	139	137	153	153
	(Changes in percent of beginning-of-period broad money)				
Net foreign assets	108.0	30.8	0.3	134.8	153.1
Net domestic assets	-71.6	-21.2	4.7	-124.3	-141.6
Net domestic credit	-72.2	-21.2	17.9	-124.3	-141.6
Net credit to the government	-84.3	-23.8	12.6	-127.2	-144.6
Credit to the private sector	12.5	2.7	4.7	2.9	3.6
	(Annual percent changes, unless otherwise indicated)				
Broad money	36.4	9.6	5.0	10.5	11.5
Reserve money	44.0	9.6	-0.6	10.5	11.5
Velocity					
Non-oil GDP/Average M2	1.9	2.2	2.3	2.2	2.4
Non-oil GDP/End period M2	1.6	2.1	2.3	2.1	2.3
	(Percent)				
Total GDP growth	32.0	-14.5	-14.3	36.8	36.7
Non-oil GDP growth	11.9	9.6	9.5	10.5	11.5
Credit to the private sector/Non-oil GDP	12.2	12.6	13.8	13.1	14.3

Sources: BEAC; and Fund staff estimates and projections.

¹EBS/09/174.

Table 5. Republic of Congo, Medium Term Balance of Payments, 2008–12

	2008	2009		2010		2011	2012
	Est.	Prog. ¹	Est.	Prog. ¹	Proj.	Proj.	Proj.
(Billions of CFA francs)							
Current account	29	-566	-348	137	224	636	631
Trade balance	2,398	1,700	1,912	2,852	3,047	3,767	3,588
Exports, f.o.b.	3,696	2,876	3,073	4,294	4,634	5,466	5,400
Oil sector	3,359	2,676	2,708	4,071	4,194	4,983	4,878
Non-oil sector	337	200	366	224	440	483	523
Imports, f.o.b.	-1,298	-1,176	-1,161	-1,442	-1,587	-1,699	-1,813
Oil sector	-302	-347	-394	-363	-372	-472	-459
Government	-294	-314	-255	-429	-511	-441	-497
Non-oil private sector	-702	-514	-512	-650	-704	-785	-856
Balance of services	-1,009	-990	-964	-1,119	-1,170	-1,299	-1,290
Oil sector	-753	-772	-760	-836	-857	-977	-933
Nonoil sector	-203	-218	-205	-284	-313	-322	-357
Income	-1,364	-1,264	-1,277	-1,593	-1,649	-1,838	-1,671
Labor income	-46	-36	-37	-57	-59	-71	-69
Investment income	-1,318	-1,228	-1,240	-1,536	-1,590	-1,768	-1,602
Current transfers (net)	5	-12	-19	-2	-3	6	5
Capital account	35	1,132	15	33	1,138	45	47
Debt forgiveness ²	0	1,110	0	0	1,105	0	0
Official grants	35	22	15	33	33	45	47
Other	0	0	0	0	0	0	0
Financial account	1,125	-271	188	1,282	170	1,463	1,573
Direct investment (net)	1,112	933	909	1,261	1,301	1,586	1,600
Of which: oil sector	990	888	864	1,118	1,159	1,312	1,249
Portfolio investment	-1	0	0	0	0	0	0
Other investment	13	-1,204	-722	21	-1,131	-123	-26
Medium and long term	-163	-1,204	-81	-38	-1,012	145	147
Public sector	-82	-1,036	-85	35	-1,035	95	91
Drawings	47	119	1	106	108	126	127
Project	46	100	1	106	108	126	127
Program	1	0	0	0	0	0	0
Amortization	-129	-1,156	-86	-71	-1,143	-30	-35
Private sector	-81	-168	4	-73	23	50	56
Oil	-78	-98	9	-39	21	38	38
Non-oil	-3	-69	-5	-35	2	12	18
Short term	176	0	-641	59	-119	-268	-174
Errors and omissions	-76	0	-2	0	0	0	0
Overall balance of payments	1,113	295	-145	1,452	1,532	2,144	2,252
Financing	-1,113	-295	145	-1,452	-1,532	-2,144	-2,252
Reserve financing	-844	-295	83	-1,452	-1,544	-2,144	-2,252
IMF (net) ³	1	-6	2	2	-6	2	-1
Purchases / Disbursements	1	2	2	2	2	2	0
Repurchases / Repayments	0	0	0	0	0	0	-1
Others reserves	-844	-289	81	-1,454	-1,538	-2,146	-2,251
Exceptional financing ⁴	-270	0	62	0	12	0	0
Net change in arrears	-801	-430	-17	0	-413	0	0
Debt cancellation	207	208	58	0	211	0	0
Debt rescheduling	325	222	21	0	215	0	0
Financing gap (- = surplus)	0	0	0	0	0	0	0
(Annual percentage change)							
Memorandum items:							
Export price	18.3	-31.2	-27.3	19.7	26.0	2.1	2.9
Import price	8.3	-10.4	-10.2	4.8	12.0	2.6	1.8

Sources: BEAC; and Fund staff estimates and projections.

¹EBS/09/174.

² Includes stock debt relief of the HIPC completion point.

³ Includes assumed disbursements under the new ECF.

⁴ Includes flow debt relief from Paris Club and London Club, and payments to litigating creditors.

Table 6: Republic of Congo: Proposed Access and Phasing Under
the Three-Year ECF Arrangement, 2008-11 ¹

Timing	Disbursement		Conditions
	Amount in SDRs	Percent of quota	
12/22/2008	1,208,570	1.43	Approval of the arrangement
6/24/2009	1,208,570	1.43	Review completed (July 2009)
12/4/2009	1,208,570	1.43	Review completed (November 2009)
May-10	1,208,570	1.43	Completion of the third review (end-December 2009 test date)
Dec-10	1,208,570	1.43	Completion of the fourth review (end-June 2010 test date)
Jun-11	1,208,570	1.43	Completion of the fifth review (end-December 2010 test date)
Sep-11	1,208,580	1.43	Completion of the sixth (final) review (end-March 2011 test date) ²
Total	8,460,000	10.00	

¹The Republic of Congo's quota is SDR 84.6 million.

²A test date of end-March 2011 is set to allow the final disbursement to take place before the end of the arrangement period.

APPENDIX I—SUPPLEMENTAL LETTER OF INTENT

Brazzaville, May 19, 2010

The Minister of Finance, Budget
and Public Portfolio

To:

Mr. Dominique Strauss-Kahn
Managing Director
International Monetary Fund
Washington, DC 20431
United States of America

Dear Mr. Strauss-Kahn:

1. The Fund's Executive Board completed the second review of Congo's arrangement under the Extended Credit Facility (ECF) in November 2009 and determined that it had reached the completion point under the enhanced Heavily Indebted Poor Countries (HIPC) Initiative in January 2010. The Congolese authorities are grateful for this support and are determined to maintain the momentum of economic reform, to further consolidate macroeconomic stability and accelerate growth to reduce poverty durably. In this regard, we believe the program objectives elaborated in our Memorandum of Economic and Financial Policies of November 2009 remain relevant and achievable. These objectives include an increase in real non-oil GDP growth this year, maintaining a low level of inflation, and continued fiscal adjustment toward long-term sustainability.
2. Recent economic developments have been favorable, with robust growth and low inflation, and there are signs that economic activity is picking up strongly in the non-oil sector. On the external front the outlook is positive, with the recovery in the terms of trade and rising oil production pointing to a current account surplus in 2010. With the HIPC completion point behind us, economic prospects have improved and we will continue to use our best efforts to conclude bilateral debt agreements and to use good faith efforts to obtain comparable treatment from commercial creditors as soon as possible.
3. The implementation of our Fund-supported program continues to be satisfactory and we observed all the quantitative performance criteria at end-December 2009. Indeed, the target on the basic non-oil primary fiscal balance was observed by a significant margin, despite the adverse (but waning) impact of the global financial crisis. We attribute this strong performance to prudent budget management and the emerging benefits of public financial management and tax and customs administration reforms, and some tax policy changes. While performance on structural areas has been broadly favorable, we did not meet two

structural benchmarks. The first unobserved structural benchmark concerns the transfer of oil receipts to the treasury within 45 days. As you know, one of the HIPC completion point triggers entailed aligning oil commercialization with best international practice. In this context, we took on board the recommendations made by the World Bank to integrate within the parent company (SNPC) the subsidiary charged with crude oil commercialization. This operational change resulted in a delay in some cases past the 45 days, but progress is being made in regularizing the payment transfer. The second benchmark that we did not meet is completion of the strategic study of the oil sector. This study is progressing, although not on the timeline we envisaged earlier, owing to the complexity of certain issues, including the legal terms and conditions of oil contracts and the tax regime. To ensure this study effectively guides policies in this critical sector, we have solicited technical assistance from an international expert to buttress the analysis. The study should be completed by end-September.

4. For 2010 and beyond, we will continue to monitor our program through quantitative performance criteria, which focus on consolidation of the fiscal position. As envisaged earlier, we will target a basic non-oil primary fiscal deficit of CFAF 638 billion, equivalent to a reduction of about 3 percent of non-oil GDP (Table 1). We propose to strengthen the monitoring of the use of the government's financial resources through an indicative target on net domestic financing of the banking sector to the government (ceiling). HIPC debt relief has led to a significant improvement in the government's external position and we will continue to maintain a prudent external borrowing policy, to preserve external sustainability. Nonetheless, we do have some margin to maneuver and we can now accommodate foreign financing on less concessional terms. Consequently, we propose to reduce the program's grant element on new medium- or long-term external debt to 35 percent, from 50 percent. This would help increase the range of potential projects that we could consider with the assistance of our development partners, without jeopardizing debt sustainability. Indeed, an updated debt sustainability analysis demonstrates that moderate external borrowing on these terms will not lead to a deterioration of the external debt indicators over the medium to long term.

5. With the help of Fund technical assistance, we are making progress in using a functional classification to enhance the monitoring of poverty-related spending. Once this work is completed, we will adopt an indicative target on such spending, consistent with the framework under the ECF.

6. In coordination with our CEMAC partners, we continue to place great importance on addressing the weaknesses in the regional central bank (BEAC). The BEAC authorities remain committed to strengthening governance. Initial measures have been taken to safeguard Fund resources. An external audit of all budgetary and accounting processes at BEAC headquarters is ongoing and expected to be completed in the coming weeks. We remain committed to working with the BEAC to resolve these issues as quickly as possible.

7. During the implementation of the program, we will consult with Fund staff on the adoption of any measures that may be necessary to achieve its objectives, at the initiative of the government, or whenever the Fund staff requests such a consultation. The government intends to make the contents of this letter and those of the attached Technical Memorandum of Understanding (Attachment III), as well as the staff report accompanying its request for completion of the third review of the program, available to the public and authorizes the Fund to arrange for them to be posted on the Fund's website, subsequent to Executive Board approval of its request.

8. We expect the fourth review under the ECF arrangement based on performance through end-June 2010 to be completed before end-October 2010, and the fifth review based on performance through end-December 2010 to be completed before end-June 2011.

Sincerely yours,

/s/

Gilbert Ondongo
Minister of Finance, Budget, and Public Portfolio

Attachments: Table 1. Quantitative Targets, 2009–10
Table 2. Structural Benchmarks Under the ECF Arrangement, 2010–11
Technical Memorandum of Understanding

APPENDIX I—ATTACHMENT I

Table 1. Republic of Congo: Quantitative Targets, 2009–10
(Billions of CFA francs; cumulative from January; unless otherwise indicated)

	End-Dec. 2009		End-Mar. 2010	End-Jun. 2010	End-Sep. 2010	End-Dec. 2010
	Perf. Criteria	Prel.	Indicative Target	Perf. Criteria	Indicative Target	Perf. Criteria
Quantitative targets						
Basic Non-oil primary fiscal balance (floor)	-637	-614	-181	-363	-500	-638
New medium or long-term nonconcessional external debt (including leasing) contracted or guaranteed by the government (ceiling) ^{1, 2, 3}	0	0	0	0	0	0
New external debt (including leasing) with an original maturity of less than one year (ceiling) ²	0	0	0	0	0	0
New oil-collateralized external debt contracted by or on behalf of the central government (ceiling) ²	0	0	0	0	0	0
New nonconcessional external debt with a maturity of more than 1 year contracted or guaranteed by SNPC (ceiling) ²	0	0	0	0	0	0
New external arrears on nonreschedulable debt (ceiling) ²	0	0	0	0	0	0
New domestic arrears ²	0	0	0	0	0	0
Memorandum items						
Oil revenue	1070	934	516	1,060	1,618	2,187
Non-oil primary revenue	372	373	106	211	317	422
Net domestic financing of the government (ceiling)	...	...	-295	-618	-999	-1,352
Pro-poor spending	405	401	125	249	352	455

¹ Excluding rescheduling arrangements and disbursements from the IMF; the minimum grant element is set to 35 percent.

² Continuous.

³ The zero ceiling on nonconcessional external debt does not apply to forthcoming external loans from the European Investment Bank and the Central African States Development Bank, as specified in paragraph 11 of the Technical Memorandum of Understanding.

APPENDIX I—ATTACHMENT II

Table 2. Republic of Congo: Structural Benchmarks under the ECF Arrangement, 2010–11

Measures	Timing/status
Public financial management and domestic revenue mobilization	
Have no recourse to emergency payment and cash advance procedures except in situations stated in the organic budget law.	Continuous
Support implementation of the new procurement code by ensuring that 80 percent of public contracts) having a total value of over CFAF 250 million are open to competitive bidding.	Continuous
Undertake audits to assess the arrears (wages, pensions) and liabilities of public enterprises liquidated or under restructuring. These audits will cover the period 2000-08.	End-June 2010
Governance and natural resource management	
Support implementation of the new oil commercialization action plan by ensuring that oil is marketed in line with the recommendations made by the international consultant, who is advising the state-owned oil enterprise (SNPC) on international best practice. These recommendations will include the introduction of competitive tenders for oil sales.	Continuous
Have an internationally reputable audit firm certify oil revenue quarterly, using the same specifications as for the 2003 certification and with no restrictions on access to the information; and publish the certification reports on the website of the Ministry of Economy, Finance and Budget (www.mefb-cg.org). Also, the government will post on the website not only the audit but for each report, a note addressing comments by the auditors.	Continuous
Repatriate to the Treasury the proceeds of oil shipments commercialized by private companies and SNPC on behalf of the government within 45 days after the actual shipment date, based on actual quantities, prices, and shipment dates.	Continuous
Finalize the strategic study of the oil sector—assisted by Congo’s development partners—which will include a critical assessment of the institutions and enterprises, including CORAF.	End-September 2010
Public enterprises	
Ensure regular and timely adjustment of petroleum-product prices in line with the pricing mechanism adopted in May 2009, to avoid the need for budget subsidies or subsidies to the state-owned oil refinery, CORAF.	Quarterly

APPENDIX I—ATTACHMENT III

Technical Memorandum of Understanding

Brazzaville, May 19, 2010

1. This technical memorandum of understanding (TMU) describes the definitions that are intended to clarify the measurement of the quantitative performance criteria and indicators in Table 1 of the Supplemental Letter of Intent (May 19, 2010) and the Memorandum of Economic and Financial Policies (MEFP, dated November 5, 2009) covering 2008–11. All quantitative performance criteria and indicators will be evaluated in terms of cumulative flows from December 31, 2009. Also, the TMU specifies the periodicity and deadlines for transmission of data to the staff of the IMF for program monitoring purposes.

I. DEFINITIONS AND COMPUTATION

A. Government

2. Unless otherwise indicated, **government** is defined as the central government of the Republic of Congo and does not include local governments, the central bank, and any public entity with autonomous legal personality (i.e., wholly- or partially-owned state enterprises) not currently covered by the government's consolidated financial operations table (tableau des opérations financières de l'Etat—TOFE).

B. Basic Primary Fiscal Balance

3. The scope of the government's **financial operations table** (TOFE) includes the general budget and the special accounts of the Treasury (including the forestry and road funds) and the government debt management agency (Caisse Congolaise d'Amortissement, CCA).

4. The government's **non-oil basic primary fiscal balance** is defined as total non-oil revenue excluding grants and investment income (on the government's accounts in the central and commercial banks), minus total expenditure (including net lending), which is to exclude transfers to Hydro Congo, interest payments on debt, externally-financed capital expenditure, and capital expenditure financed by debt services savings under the enhanced Heavily Indebted Poor Countries (HIPC) Initiative. It is calculated from the budget execution outturn reported every month in the TOFE prepared by the Ministry in charge of finance.

5. The government's **total revenue** is reported in the TOFE on a cash basis. It includes all revenue collected by the Treasury (from tax and customs receipts, oil, services and forestry), whether they result from past, current, or future obligations. Receipts also include those recorded on a gross basis, in special accounts.
6. **Oil revenue** is defined as the government's net proceeds from the sale of oil, including the provision for diversified investments, royalties paid by oil companies, and the government's share of excess and profit oil. It excludes all forms of prepayment and pre-financing. The oil revenue projections take account of the 45 day lag between the date of shipment and the date of receipt of the sale proceeds by the Treasury.
7. **Expenditures** are recorded on a payment order basis. They include current expenditure, domestically-financed capital expenditure, foreign-financed capital expenditure, and net lending. Current expenditures include expenditures on wages, goods and services, common charges, interests on debt (domestic and external), transfers and subsidies, and other current expenditures. Subsidies to the state-owned oil refinery, CORAF, are estimated on the basis of the enterprises income statement.
8. Pro-poor spending is defined in the budget on the basis of the functional classification.

C. Net domestic financing of the central government

9. Net domestic financing (NDF) of the central government is defined as the change in the government's net position (claims minus deposits at the BEAC and commercial banks) in the banking system, which is elaborated in the table of Position Nette due Gouvernement table (PNG). NDF also includes the change in the stock of Treasury bills and bonds issued by the Congolese Treasury in CFA francs on the CEMAC regional market, when those securities are established but exclude the change in the outstanding of IMF credits at the BEAC (recours au credits du FMI) . At end-December 2009, NDF was assessed at -956.29 billion CFAF. For each test date, any adjustment by the BEAC to the data reported by individual commercial banks, on account of their misclassification of government or for other reasons, will be reported to the Fund.

D. External Debt and External Arrears

10. The definition of **government** used for the various external debt indicators includes government, as defined in paragraph 2, public institutions of an administrative nature (*Etablissements Publics Administratifs*), public institutions of a scientific and/or technical nature, public institutions of a professional nature, public institutions of an industrial and/or commercial nature (*Entreprises Publiques d'Intérêt Commercial*), and local governments, with the sole exception of the national oil company (SNPC)—see paragraph 12 below.

11. For the purposes of this memorandum, **debt and concessional loans** are defined as follows:

- As specified in the guidelines adopted by the Executive Board of the IMF,¹ debt will be understood to mean a current, i.e., not contingent, liability, created under a contractual arrangement through the provision of value in the form of assets (including currency) or services, and which requires the obligor to make one or more payments in the form of assets (including currency) or services, at some future point(s) in time; these payments will discharge the principal and/or interest liabilities incurred under the contract. Debts can take a number of forms, the primary ones being as follows: (i) loans, i.e., advances of money to the obligor by the lender made on the basis of an undertaking that the obligor will repay the funds in the future (including deposits, bonds, debentures, commercial loans and buyers' credits) and temporary exchanges of assets that are equivalent to fully collateralized loans under which the obligor is required to repay the funds, and usually pay interest, by repurchasing the collateral from the buyer in the future (such as repurchase agreements and official swap arrangements); (ii) suppliers' credits, i.e., contracts where the supplier permits the obligor to defer payments until some time after the date on which the goods are delivered or services are provided; and (iii) leases, i.e., arrangements under which property is provided which the lessee has the right to use for one or more specified period(s) of time that are usually shorter than the total expected service life of the property, while the lessor retains the title to the property. The debt is the present value (at the inception of the lease) of all lease payments expected to be made during the period of the agreement, excluding those payments that cover the operation, repair, or maintenance of the property. Under the definition of debt set out above, arrears, penalties, and judicially awarded damages arising from the failure to make payment under a contractual obligation that constitutes debt are debt. Failure to make payment on an obligation that is not considered debt under this definition (e.g., payment on delivery) will not give rise to debt.
- Loan concessionality is assessed on the basis of the commercial interest reference rates (CIRRs) established by the OECD. A loan is said to be on concessional terms if, on the date of conclusion of the contract, the ratio of the net present value of the loan, calculated on the basis of the reference interest rates, to its nominal value is less than 35 percent (i.e., a grant element of at least 35 percent).²

¹ See Executive Board Decision No. 6230-(79/140) as amended by Decisions Nos. 11096-(95/100) and 12274 (00/85), and 14416-(09-91), August 31, 2009, effective December 1, 2009.

² See "Staff Guidance Note on Debt Limits in Fund-Supported Programs"
<http://www.imf.org/external/np/pp/eng/2009/121809.pdf>, December 18, 2009.

For debts with a maturity exceeding 15 years, the ten-year reference interest rate published by the OECD is used to calculate the grant element. For shorter maturities, the six-month market reference rate is used.

The concessionality requirement applies not only to the central government, but also covers debt incurred by public enterprises. The sole exception to this concessionality requirement is the projected external loans to the Port Authority of Pointe Noire to support its rehabilitation from the European Investment Bank in an amount up to euro 29 million, and from the Central African States Development Bank in an amount up to euro 9.1 million.

12. The quantitative indicative target with respect to **external debt** (residency basis) apply not only to debt as defined in the above-mentioned guidelines, but also to commitments incurred or guaranteed for which no value has yet been received or on which only partial drawings have been made. However, this does not apply to financing from the IMF or to Treasury bills and bonds issued by the Congolese Treasury in CFA francs on the CEMAC regional market.

13. For **external debt with an initial maturity of less than one year** (a continuous quantitative performance criterion), normal short-term import and export credit are excluded from the scope of the indicator, including the prepayments.

14. The ceiling on any **new nonconcessional external debt with a maturity of more than one year contracted or guaranteed by the SNPC**, with or without government guarantee, will be observed continuously. The SNPC may borrow only to finance investments related to its core activities (research, exploration, production, refining and distribution of oil, construction of a Brazzaville headquarters, creation and strengthening of its database, etc.). In addition, these investments must be included in the SNPC's investment budget approved by its board of directors. The ceiling on debt does not apply to changes in loan accounts with oilfield partners or to loans with maturities of less than one year.

15. The accumulation by the government of **external payment arrears** is the difference between (i) the gross amount of external debt service payments due (principal and interest, including penalty and/or late interest, as appropriate) and (ii) the amount actually paid during the period under consideration. Under the program, the government commits itself to not accumulate external payment arrears on non-reschedulable debt (that is, debt to Paris Club creditors contracted after the cutoff date and debt to multilateral creditors). Non-accumulation of external payment arrears is an indicator to be continuously observed.

E. Oil-Collateralized External Debt and Oil Prepayments

16. Oil-collateralized external debt is external debt which is contracted by giving an interest in oil. Pre-financing is defined as an oil-collateralized loan which is repaid by the sale of the oil in a different calendar year. New pre-financing by or on behalf of the government is strictly prohibited under the program. The refinancing and/or deferral of the existing stock and/or due dates are permitted but should not give rise to an augmentation of the existing stock of oil-collateralized debt.

17. A prepayment is defined as an advance payment by the purchaser of oil on a specific oil shipment. Prepayment-related operations must be repaid within 6 months but in any case within the calendar year in which they were contracted.

F. Payment Arrears and Domestic Debt

18. Domestic payment arrears of the government are equivalent to the difference over the period under review between the amount of payments authorized and the actual payments made (within 90 days).

II. INFORMATION FOR PROGRAM MONITORING

19. The government will submit the following information to the staff of the IMF through its Resident Representative, and within the time period specified below.

A. Oil Sector

20. Regarding the oil sector, the government will submit the following information to IMF staff within four weeks after the end of the month:

- the monthly data on oil production by oil field, production costs, volume exported, export prices, and the operations of the national oil company (SNPC);
- the breakdown concerning the share of crude oil that accrues to the government, by oil field, distinguishing the type of resource to which this share relates (royalties, profit oil, etc.);
- any change in the tax parameters;
- a breakdown of oil prices;
- a monthly detailed list of shipments commercialized by SNPC on behalf of the government, including information on the type of product, the date of loading, the

recipient, the number of barrels and the selling price (in US dollars and CFAF) as well as the date of receipt of the sale proceeds by the Treasury; and

- actual and projected quarterly data to determine the required subsidies in the fuel sector, including prices, quantities, and costs.

B. Government Finance

21. Regarding government finance, the government will submit the following information to IMF staff:

- A table on government fiscal operations (TOFE) and its annexes. The annexed tables include (i) the breakdown of oil revenue in value terms with the corresponding notes on computation, (ii) excess oil trends and any bonus payments, (iii) the breakdown of tax and non-tax revenue, and central government expenditure, particularly transfers and common charges; and (iv) a report on the amounts of and rationales for emergency payment and cash advance procedures. The provisional TOFE and its annexes will be reported monthly within four weeks from the end of the month, whereas the final TOFE and its annexes will be reported within six weeks from the end of each month.
- Monthly data on the prices and taxation of petroleum products. These data will include: (i) the price structure in effect during the month; (ii) the details of computation of the price structure, (f.o.b. Mediterranean price) at retail prices, including the border impact prices, taxes, transit costs, economic adjustments, ex-refinery prices (for CORAF and imports), entry distribution prices, margins and fees, transport costs and losses, financing expenses, and insurance; (iii) amounts released for sale; and (iv) a breakdown of the tax revenue from oil products—customs duties and value-added tax—and direct/indirect subsidies incurred by the budget. These data will be reported within four weeks from the end of the month.
- The Treasury balance to monitor expenditures. It will include the amount of commitments, payment orders, and payments, for both current and capital expenditure. It will be produced on a quarterly basis, and submitted to Fund staff no later than four weeks after the end of each quarter.
- Data on implementation of the public investment program, including the breakdown relating to financing sources. If the data on the execution of investments financed with foreign grants and loans are not available on schedule, a linear estimate of execution in comparison with annual forecasts will be used. These data will be reported on a quarterly basis within four weeks from the end of the quarter.

- Complete monthly data on domestic financing of the budget (net bank credit to, and net non-bank credit to the government). These data will be reported monthly within four weeks from the end of the month.
- The table used to monitor the expenditure process will list the amount of commitments, payment orders, and payments, for both operating and capital expenditures. It will be produced on a quarterly basis, and submitted to Fund staff no later than four weeks after the end of the quarter.
- A quarterly table for monitoring poverty reduction expenditures, based on the pro-poor sectors defined in the poverty reduction strategy paper—basic health care and education; infrastructure and rural integration; water and electricity; disarmament, demobilization and reintegration; social protection, and agriculture). The quarterly tables will be submitted within four weeks of the end of the quarter.
- A monthly table of prepayments, which will also indicate the nature of the expenditures (current transfers, investment, etc.) and the justification for the need to use the prepayment option.

C. Monetary Sector

22. The government will submit on a monthly basis, within four weeks of the end of the month, the following preliminary information:

- the consolidated balance sheet of the monetary institutions, the central bank survey, and the commercial banks survey;
- the integrated monetary survey;
- the table of lending and deposit rates; and
- the usual banking supervision indicators for banks and non-bank financial institutions, where necessary.

23. The final data for the integrated monetary survey will be transmitted within six weeks of the end of the month.

D. Balance of Payments

24. The government will submit the following information to IMF staff:

- any revised balance of payments data (including services, private transfers, official transfers, and transactions for the capital and financial account) as soon as the data are revised; and

- foreign trade statistics (volume and price) prepared by the national statistics agency within three months of the end of the reporting month.

E. Debt

25. The government will submit the following to the staff of the IMF within four weeks of the end of the month:

- data on the stock, accumulation, and payment of domestic arrears;
- data on the stock, accumulation, and payment of external payment arrears;
- a breakdown of estimated domestic and external public debt service, service due, and actual payments, including breakdowns of principal and interest and by creditor;
- the list and amounts of new external debt incurred or guaranteed by the government, including detailed information on the terms and conditions (currency, interest rate, grace period, and maturity) stated in the original agreement; and
- actual disbursements of foreign financial assistance (project and non-project), including new borrowing and any external debt relief granted by foreign creditors (CCA tables).

F. Real Sector

26. The government will submit the following to the staff of the IMF:

- monthly itemized consumer price indices, within four weeks of the end of the month;
- any revision of the national accounts; and
- any other indicators and statistical data used to track overall economic developments, including information on activity in the forestry sector and wood-processing industry, as well as the short-term economic bulletins prepared monthly.

G. Structural Reforms and Other Data

27. The government will submit the following information to the IMF staff:
- a monthly detailed table concerning the implementation of structural measures under the program;
 - any study or official report on the economy of the Republic of Congo, within two weeks of its publication; and
 - any decision, order, law, decree, ordinance, or circular having economic or financial implications for the program, within two weeks from the time it is published, or, at the latest, from its entry into force.